WELLS FARGO

Price Target Change — February 20, 2026

Homebuilders

Toll Brothers, Inc.

Unpacking FQ1—Solid Print Stands Apart from Entry-Level Peers'

Overweight
Price Target: $185.00

Ticker	TOL
Upside/(Downside) to Target	**10.8%**
Price (02/18/2026)	**$166.98**
52 Week Range	$86.67 - 168.36
Market Cap (MM)	$16,286
Enterprise Value (MM)	$17,683
Average Daily Value (MM)	$212
Dividend Yield	0.6%

$ (Oct) EPS	Q1	Q2	Q3	Q4	FY
2026E	2.19 A	2.54 E	3.29 E	4.68 E	12.70 E
2027E	1.65 E	3.00 E	3.79 E	4.86 E	13.30 E

EPS: Quarterly numbers may not match annual numbers because of share buybacks.
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

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Our Call

TOL is an outlier in housing: solid results, yet unlike peers that have also rallied in this housing 'rotation' trade, it is still undervalued, in our view. We see FQ2/F2H as well calibrated (w/ pot'l upside, esp if move-up demand holds). Stay OW.

Big picture. As we mentioned last night, TOL was crowded into EPS and there was little debate into the print (consensus long). Post today's call, we see a clear line of sight into FQ2 (we suspect margins likely shake out a touch above 25.5% guide, based on 3+ years of beats as precedent) and see implied F2H margins (26.0%) as doable too. This is the only builder in our coverage where we have this level of conviction, setting TOL apart in a very crowded field. Thus, we're constructive.

Key call takes. 1) Sounds as if web traffic, foot traffic & deposits are all 'up modestly' vs. last year since mid-Jan; but TOL rightfully demurred on sounding overly optimistic (the right tone, in our view); **2)** Building costs are tracking flat today, but it sounds as if non-lumber buckets are starting to trend lower; **3)** TOL is running incentive loads at 8% (and guide contemplates this holding thru year-end); **4)** It sounds as if Q4 GM% will step up vs. Q3 (via geo mix).

FQ1 in review. 1) Deliveries (1.9K) matched the guide high end; **2)** Orders at 2.3K were a touch light vs ests (but order ASP at $1M+ came in ahead); **3)** GM% at 26.5% was +25bps vs guide, and this was probably a touch ahead of buyside as best we can tell; **4)** HB SG&A was 13.9% (-30bps sub-guide & ests), ultimately driving EPS at $2.19. Did TOL knock the ball out of the park? This was more in line; but in the context of downward est revisions across the group, these were solid results. 1st take here.

Updated ests. We're taking numbers up slightly in FY26 (+5c to $12.70), w/ a small re-calibration in FY27 (-20c to $13.30). Our updated $185 PT (from $170), based on 14.7x CY26 EPS, contemplates 2x book, a bit above historicals—not crazy in the context of peers... Said differently, we think TOL is unique among builders and, despite crowding into EPS, we aren't surprised to see shares up today.

All estimates/forecasts are as of 2/18/2026 unless otherwise stated. 2/18/2026 11:21:13EST. Please see page 6 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

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Wells Fargo Express Takeaways

Toll Brothers, Inc. (TOL) | Rating: Overweight | Price Target: $185.00
Analyst: Sam Reid

Financials

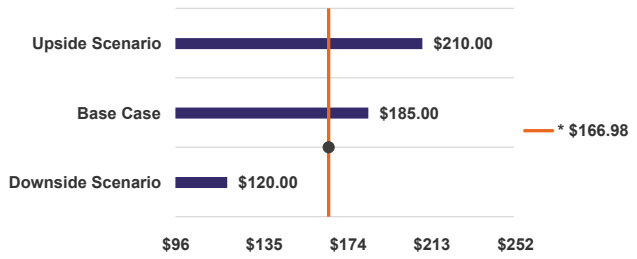
FY (Oct) $ ESTIMATES	2025A	2026E	2027E
EPS			
Q1	1.75 A	2.19 A	1.65 E
Q2	3.50 A	2.54 E	3.00 E
Q3	3.73 A	3.29 E	3.79 E
Q4	4.58 A	4.68 E	4.86 E
AN	13.49 A	12.70 E	13.30 E
Rev. (MM)	10.97B A	10.83B E	11.05B E
EBIT (MM)	1,720.6 A	1,570.3 E	1,670.5 E
EBITDA (MM)	1.80B A	1.66B E	1.76B E
FCF (MM)	1,026.2 A	1,732.3 E	1,704.8 E
WELLS FARGO vs. CONSENSUS			
Consensus Estimate	13.49 A	12.82 E	14.29 E
Difference from Consensus		(0.9)%	(6.9)%
VALUATION			
P/E	12.4x	13.2x	12.6x
EV/Revenue	1.6x	1.6x	1.6x
EV/EBIT	10.3x	11.3x	10.6x
EV/EBITDA	9.8x	10.7x	10.0x
EV/FCF	17.2x	10.2x	10.4x
FCF Yield	6.3%	10.6%	10.5%

EPS: Quarterly numbers may not match annual numbers because of share buybacks.
Consensus Estimate: EPS; Source: FactSet
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

TOL (Overweight) seems like a counterintuitive pick in a mushy macro, but we see a few silver linings: **1)** well-capitalized balance sheet relative to small luxury peers, with room to take advantage of tough regional bank financing; **2)** stepped-up spec strategy (~50% of recent sales), which broadens **TOL**'s TAM deeper into EHS territory; **3)** a greater focus on land light (optioned land now 57% of total, +45pts vs. 2015).

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 02/18/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $185.00

Our $185 price target is based on 14.7x our calendar 2026 EPS estimate. We believe this is justified given TOL's strong balance sheet & stepped-up production focus. This implies P/TBV of 2.0x.

Upside Scenario | $210.00

Our $210 upside price target is based on 15.2x our calendar 2026 upside EPS estimate. This implies P/TBV of 2.3x. Key sources of upside include: more favorable rate environment, further easing of the supply chain and continued tightness in the EHS market (as TOL competes directly with limited near luxury/luxury EHS supply).

Downside Scenario | $120.00

Our $120 downside price target is based on 10.1x our calendar 2026 downside EPS estimate. This implies P/TBV of 1.3x. Key sources of downside include: a deteriorating macro environment, supply chain disruptions and a dramatic step up in existing home supply.

Upcoming Catalysts

Key company-specific catalysts include FQ2 earnings, with an updated read on FY26. Elsewhere, macro data points will inevitably matter (rates in particular, plus the usual suspects, such as starts, NHS, etc.). We'll also be keeping a pulse on high-end consumer dynamics and EHS dynamics. On this latter point, shifting EHS trends could impact **TOL**'s growing spec biz (*more EHS inventory = stepped-up competition for new specs* or vice versa).

Company Description

TOL is the largest luxury homebuilder in the U.S., and while **TOL** is also predominantly a BTO builder, the company has in recent years leaned into spec production. **TOL**'s land strategy is balanced, with a pronounced shift to land light since 2015. In addition to single family houses, **TOL** also constructs condominium products as well as for-rent apartments through a series of JVs.

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Financials

Toll Brothers Inc (TOL)
Revenue Build and Drivers

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Period end date	10/31/22	10/31/23	10/31/24	1/31/25	4/30/25	7/31/25	10/31/25	10/31/25	1/31/26	4/30/26	7/31/26	10/31/26	10/31/26	1/31/27	4/30/27	7/31/27	10/31/27	10/31/27	10/31/28
days	365	365	366	92	89	92	92	365	92	89	92	92	365	92	89	92	92	365	366
($ in millions except per share data)	FY22A	FY23A	FY24A	1Q25A	2Q25A	3Q25A	4Q25A	FY25A	1Q26A	2Q26E	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E	FY28E
Revenue by Segment																			
Home sales	9,711	9,866	10,563	1,841	2,706	2,881	3,414	10,842	1,855	2,402	2,645	3,417	10,319	1,671	2,567	2,998	3,509	10,746	11,835
Completion sales																			
Land/lot sales & other	564	129	283	18	33	64	9	125	291	75	75	75	516	75	75	75	75	300	300
Consolidated Revenue	**$10,276**	**$9,995**	**$10,847**	**$1,859**	**$2,739**	**$2,945**	**$3,423**	**$10,967**	**$2,146**	**$2,477**	**$2,720**	**$3,492**	**$10,834**	**$1,746**	**$2,642**	**$3,073**	**$3,584**	**$11,046**	**$12,135**
Seasonality	100.0%	100.0%		17.0%	25.0%	26.9%	31.2%		19.8%	22.9%	25.1%	32.2%		15.8%	23.9%	27.8%	32.4%		
Consensus Sales	***10,276***	***9,995***	***10,847***	***1,859***	***2,739***	***2,945***	***3,423***	***10,967***	***1,855***	***2,437***	***2,801***	***3,349***	***10,443***	***1,930***	***2,703***	***3,086***	***3,463***	***11,266***	***11,974***
Consensus Land Sales	*564*	*129*	*283*	*18*	*33*	*64*	*9*	*125*	*73*	*48*	*48*	*48*	*215*	*75*	*75*	*75*	*75*	*300*	*300*
Operational data (company-wide)																			
Revenues ($s)	**$9,712**	**$9,864**	**$10,563**	**$1,841**	**$2,707**	**$2,881**	**$3,414**	**$10,842**	**$1,855**	**$2,402**	**$2,645**	**$3,417**	**$10,319**	**$1,671**	**$2,567**	**$2,998**	**$3,509**	**$10,746**	**$11,835**
Deliveries (units)	**10,515**	**9,597**	**10,813**	**1,991**	**2,899**	**2,959**	**3,443**	**11,292**	**1,899**	**2,450**	**2,703**	**3,456**	**10,507**	**1,677**	**2,566**	**3,005**	**3,479**	**10,727**	**11,583**
Average sales price	$924K	$1,028K	$977K	$925K	$934K	$974K	$991K	$960K	$977K	$980K	$978K	$989K	$982K	$996K	$1,000K	$998K	$1,009K	$1,002K	$1,022K
Consensus Home Sales	***9,711***	***9,866***	***10,563***	***1,841***	***2,706***	***2,881***	***3,414***	***10,842***	***1,831***	***2,454***	***2,764***	***3,335***	***10,383***	***1,875***	***2,711***	***3,125***	***3,447***	***11,154***	***11,871***
Consensus Delivery Units	***10,515***	***9,597***	***10,813***	***1,991***	***2,899***	***2,959***	***3,443***	***11,292***	***1,863***	***2,449***	***2,863***	***3,415***	***10,587***	***1,880***	***2,774***	***3,185***	***3,496***	***11,446***	***11,647***
Consensus Delivery ASP	*924*	*1,028*	*977*	*925*	*934*	*974*	*991*	*960*	*989*	*980*	*976*	*991*	*984*	*1,010*	*981*	*998*	*1,009*	*992*	*1,019*
New orders ($s)	**$9,067**	**$7,908**	**$10,073**	**$2,307**	**$2,604**	**$2,412**	**$2,526**	**$9,850**	**$2,379**	**$2,922**	**$2,682**	**$2,809**	**$10,792**	**$2,546**	**$3,127**	**$2,869**	**$3,005**	**$11,547**	**$12,355**
New orders (units)	**8,255**	**8,077**	**10,231**	**2,307**	**2,650**	**2,388**	**2,598**	**9,943**	**2,303**	**2,915**	**2,603**	**2,832**	**10,653**	**2,464**	**3,119**	**2,785**	**3,030**	**11,398**	**12,196**
Average sales price	$1,098K	$979K	$985K	$1,000K	$983K	$1,010K	$972K	$991K	$1,033K	$1,002K	$1,030K	$992K	$1,013K	$1,033K	$1,002K	$1,030K	$992K	$1,013K	$1,013K
Consensus Order Value	***9,046***	***7,908***	***10,160***	***2,378***	***2,678***	***2,412***	***2,526***	***9,850***	***2,382***	***3,097***	***2,842***	***2,756***	***11,077***	***2,594***	***3,184***	***2,869***	***3,005***	***11,975***	***12,468***
Consensus Order Units	***8,256***	***8,077***	***10,231***	***2,307***	***2,650***	***2,388***	***2,598***	***9,943***	***2,422***	***2,949***	***2,714***	***2,802***	***10,888***	***2,603***	***3,127***	***2,736***	***2,972***	***11,767***	***12,341***
Consensus Order ASP	*1,098*	*979*	*985*	*1,000*	*983*	*1,010*	*972*	*991*	*992*	*990*	*1,005*	*981*	*992*	*995*	*980*	*1,005*	*987*	*994*	*1,010*
Backlog value ($s)	**$8,874**	**$6,945**	**$6,468**	**$6,938**	**$6,839**	**$6,376**	**$5,494**	**$5,494**	**$6,022**	**$6,543**	**$6,580**	**$5,971**	**$5,971**	**$6,845**	**$7,405**	**$7,276**	**$6,773**	**$6,773**	**$7,293**
Backlog (units)	**8,098**	**6,578**	**5,996**	**6,312**	**6,063**	**5,492**	**4,647**	**4,647**	**5,051**	**5,516**	**5,416**	**4,792**	**4,792**	**5,579**	**6,132**	**5,912**	**5,464**	**5,464**	**6,077**
Average backlog contract price	$1,096K	$1,056K	$1,079K	$1,099K	$1,128K	$1,161K	$1,182K	$1,182K	$1,192K	$1,186K	$1,215K	$1,246K	$1,246K	$1,227K	$1,208K	$1,231K	$1,240K	$1,240K	$1,200K
Consensus Backlog Value	***8,874***	***6,950***	***6,468***	***6,940***	***6,839***	***6,376***	***5,494***	***5,494***	***5,894***	***6,660***	***6,610***	***5,991***	***5,991***	***6,653***	***7,201***	***6,876***	***6,468***	***6,515***	***7,383***
Consensus Backlog Units	***8,098***	***6,578***	***5,996***	***6,312***	***6,063***	***5,492***	***4,647***	***4,647***	***5,169***	***5,686***	***5,575***	***4,934***	***4,934***	***5,506***	***5,917***	***5,592***	***5,069***	***5,376***	***6,188***
Consensus Backlog ASP	*1,096*	*1,056*	*1,079*	*1,099*	*1,128*	*1,161*	*1,182*	*1,182*	*1,116*	*1,112*	*1,127*	*1,142*	*1,142*	*1,148*	*1,141*	*1,155*	*1,169*	*1,138*	*1,193*

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

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Toll Brothers Inc (TOL)
Quarterly Income Statement

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Period end date ($ in millions except per share data)	10/31/22 FY22A	10/31/23 FY23A	10/31/24 FY24A	1/31/25 1Q25A	4/30/25 2Q25A	7/31/25 3Q25A	10/31/25 4Q25A	10/31/25 FY25A	1/31/26 1Q26A	4/30/26 2Q26E	7/31/26 3Q26E	10/31/26 4Q26E	10/31/26 FY26E	1/31/27 1Q27E	4/30/27 2Q27E	7/31/27 3Q27E	10/31/27 4Q27E	10/31/27 FY27E	10/31/28 FY28E
Home sales	9,711	9,866	10,563	1,841	2,706	2,881	3,414	10,842	1,855	2,402	2,645	3,417	10,319	1,671	2,567	2,998	3,509	10,746	11,835
Land/lot sales & other	564	129	283	18	33	64	9	125	291	75	75	75	516	75	75	75	75	300	300
Consolidated Revenue	**10,276**	**9,995**	**10,847**	**1,859**	**2,739**	**2,945**	**3,423**	**10,967**	**2,146**	**2,477**	**2,720**	**3,492**	**10,834**	**1,746**	**2,642**	**3,073**	**3,584**	**11,046**	**12,135**
y/y Δ	*16.9%*	*(2.7%)*	*8.5%*	*(4.6%)*	*(3.5%)*	*8.0%*	*2.7%*	*1.1%*	*15.4%*	*(9.6%)*	*(7.7%)*	*2.0%*	*(1.2%)*	*(18.6%)*	*6.7%*	*13.0%*	*2.6%*	*2.0%*	*9.9%*
Costs and Expenses:																			
Home sales	7,049	7,066	7,624	1,361	1,972	2,113	2,506	7,952	1,375	1,789	1,971	2,509	7,644	1,230	1,915	2,237	2,580	7,962	8,794
Land sales	552	153	71	18	31	61	32	143	273	75	45	44	437	45	45	45	45	180	205
Amortized Interest to COGS	165	139	129	20	30	30	38	118	20	33	32	32	116	32	32	32	32	127	127
Interest expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	**2,510**	**2,636**	**3,022**	**460**	**705**	**741**	**848**	**2,754**	**477**	**580**	**672**	**908**	**2,637**	**439**	**650**	**759**	**928**	**2,776**	**3,009**
Gross margin	**24.4%**	**26.4%**	**27.9%**	**24.7%**	**25.8%**	**25.2%**	**24.8%**	**25.1%**	**22.2%**	**23.4%**	**24.7%**	**26.0%**	**24.3%**	**25.2%**	**24.6%**	**24.7%**	**25.9%**	**25.1%**	**24.8%**
Gross margin change (bps)	206	194	150	(293)	(460)	(203)	(166)	(275)	(249)	(234)	(45)	123	(77)	292	120	(2)	(12)	79	(163)
SG&A	978	909	982	240	256	254	284	1,034	258	256	249	305	1,067	233	275	284	315	1,106	1,230
SG&A as a % of sales	9.5%	9.1%	9.1%	12.9%	9.3%	8.6%	8.3%	9.4%	12.0%	10.3%	9.1%	8.7%	9.8%	13.4%	10.4%	9.2%	8.8%	10.0%	10.1%
SG&A as % of sales change (bps)	(97)	(42)	(4)	112	96	(36)	20	37	(91)	99	53	43	42	133	7	8	5	16	12
Operating profit	**1,532**	**1,726**	**2,040**	**219**	**450**	**488**	**564**	**1,721**	**219**	**324**	**424**	**603**	**1,570**	**206**	**376**	**476**	**613**	**1,670**	**1,779**
Operating profit margin	**14.9%**	**17.3%**	**18.8%**	**11.8%**	**16.4%**	**16.6%**	**16.5%**	**15.7%**	**10.2%**	**13.1%**	**15.6%**	**17.3%**	**14.5%**	**11.8%**	**14.2%**	**15.5%**	**17.1%**	**15.1%**	**14.7%**
Operating margin change (bps)	303	236	154	(405)	(556)	(167)	(185)	(312)	(158)	(333)	(98)	80	(120)	159	113	(10)	(17)	63	(46)
Equity earnings in unconsol. entities	24	50	(24)	(9)	11	(1)	17	19	35	3	3	3	44	3	3	4	4	14	17
Other income	171	68	69	11	16	13	12	52	19	4	3	4	30	3	4	4	4	15	15
Pretax income before charges	**1,727**	**1,844**	**2,086**	**221**	**478**	**500**	**593**	**1,791**	**274**	**331**	**430**	**610**	**1,645**	**212**	**383**	**484**	**621**	**1,699**	**1,811**
Debt Retirement Loss (Gain)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Extraordinary Charges (Gains)	24	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Pretax income	**1,704**	**1,842**	**2,086**	**221**	**478**	**500**	**593**	**1,791**	**274**	**331**	**430**	**610**	**1,645**	**212**	**383**	**484**	**621**	**1,699**	**1,811**
Income tax expense	417	470	514	44	125	130	146	445	63	86	112	158	419	53	96	121	157	426	455
Tax rate	*24.2%*	*25.5%*	*24.7%*	*19.7%*	*26.2%*	*26.0%*	*24.7%*	*24.8%*	*22.9%*	*26.0%*	*26.0%*	*25.9%*	*25.4%*	*25.0%*	*25.0%*	*25.0%*	*25.2%*	*25.1%*	*25.1%*
Net income from operations	**1,287**	**1,372**	**1,571**	**178**	**352**	**370**	**447**	**1,346**	**211**	**245**	**318**	**452**	**1,226**	**159**	**287**	**363**	**465**	**1,273**	**1,356**
Adjusted EPS	**$10.90**	**$12.36**	**$15.01**	**$1.75**	**$3.50**	**$3.73**	**$4.58**	**$13.49**	**$2.19**	**$2.54**	**$3.29**	**$4.68**	**$12.70**	**$1.65**	**$3.00**	**$3.79**	**$4.86**	**$13.30**	**$14.65**
y/y Δ	64.6%	13.3%	21.4%	(22.6%)	(23.0%)	3.5%	(1.1%)	(10.1%)	25.3%	(27.4%)	(11.8%)	2.1%	(5.9%)	(24.3%)	18.0%	15.4%	3.9%	4.7%	10.2%
Average Shares (Mil.) - Basic	117	110	104	101	100	98	97	99	96	96	96	96	96	95	95	95	95	95	92
Average Shares (Mil.) - Diluted	118	111	105	102	101	99	98	100	97	96	97	97	97	96	96	96	96	96	93
Consensus EPS, per FactSet	*$10.90*	*$12.36*	*$15.01*	*$1.75*	*$3.50*	*$3.73*	*$4.58*	*$13.49*	*$2.19*	*$2.87*	*$3.47*	*$4.41*	*$12.82*	*$1.88*	*$3.36*	*$3.99*	*$5.17*	*$14.29*	*$14.29*
Consensus EBIT, per FactSet	*$1,538*	*$1,762*	*$1,980*	*$223*	*$452*	*$493*	*$574*	*$1,744*	*$219*	*$352*	*$426*	*$548*	*$1,539*	*$194*	*$399*	*$475*	*$556*	*$1,698*	*$1,698*
Consensus EBITDA, per FactSet	*$1,895*	*$1,945*	*$2,241*	*$253*	*$490*	*$531*	*$695*	*$1,985*	*$297*	*$413*	*$495*	*$626*	*$1,796*	*$257*	*$450*	*$533*	*$701*	*$1,938*	*$1,938*
EBIT	**1,532**	**1,726**	**2,040**	**219**	**450**	**488**	**564**	**1,721**	**219**	**324**	**424**	**603**	**1,570**	**206**	**376**	**476**	**613**	**1,670**	**1,779**
EBIT (%)	*14.9%*	*17.3%*	*18.8%*	*11.8%*	*16.4%*	*16.6%*	*16.5%*	*15.7%*	*10.2%*	*13.1%*	*15.6%*	*17.3%*	*14.5%*	*11.8%*	*14.2%*	*15.5%*	*17.1%*	*15.1%*	*14.7%*
D&A	77	76	81	17	21	22	22	82	18	22	23	23	86	19	23	25	24	90	95
EBITDA	**1,609**	**1,803**	**2,121**	**236**	**470**	**510**	**586**	**1,803**	**237**	**346**	**447**	**626**	**1,656**	**225**	**399**	**500**	**637**	**1,761**	**1,874**
EBITDA (%)	15.7%	18.0%	19.6%	12.7%	17.2%	17.3%	17.1%	16.4%	11.0%	14.0%	16.4%	17.9%	15.3%	12.9%	15.1%	16.3%	17.8%	15.9%	15.4%
y/y Δ (bps)	291	238	152	(395)	(547)	(165)	(199)	(312)	(166)	(320)	(88)	82	(115)	183	111	(16)	(16)	65	(50)
Margin drivers																			
Homebuilding gross profit margin (incl int expense)	25.7%	27.0%	26.6%	25.0%	26.0%	25.6%	25.5%	25.6%	24.8%	24.1%	24.3%	25.7%	24.8%	24.5%	24.2%	24.3%	25.6%	24.7%	24.6%
Homebuilding gross profit margin (excl int expense)	27.4%	28.7%	28.4%	26.9%	27.5%	27.5%	27.1%	27.3%	26.5%	25.5%	25.5%	26.6%	26.0%	26.4%	25.4%	25.4%	26.5%	25.9%	25.7%
Land gross profit margin	2.2%	-19.0%	75.0%	1.4%	3.7%	5.0%	-243.2%	-14.6%	6.0%	0.0%	40.0%	41.3%	15.2%	40.0%	40.0%	40.0%	40.0%	40.0%	31.7%
SG&A as a % of homebuilding revenues	10.1%	9.2%	9.3%	13.1%	9.5%	8.8%	8.3%	9.5%	13.9%	10.7%	9.4%	8.9%	10.3%	14.0%	10.7%	9.5%	9.0%	10.3%	10.4%
Operating profit margin	14.9%	17.3%	18.8%	11.8%	16.4%	16.6%	16.5%	15.7%	10.2%	13.1%	15.6%	17.3%	14.5%	11.8%	14.2%	15.5%	17.1%	15.1%	14.7%
Company-wide pretax income margin	16.6%	18.4%	19.2%	11.9%	17.4%	17.0%	17.3%	16.3%	12.8%	13.4%	15.8%	17.5%	15.2%	12.1%	14.5%	15.7%	17.3%	15.4%	14.9%
Year/year change (bps)																			
Homebuilding gross profit margin (incl int expense)	298 bp	125 bp	(36 bp)	(262 bp)	19 bp	(181 bp)	(46 bp)	(103 bp)	(18 bp)	(187 bp)	(133 bp)	16 bp	(77 bp)	(29 bp)	2 bp	3 bp	(8 bp)	(8 bp)	(10 bp)
Homebuilding gross profit margin (excl int expense)	246 bp	127 bp	(30 bp)	(193 bp)	(71 bp)	(135 bp)	(78 bp)	(112 bp)	(45 bp)	(200 bp)	(200 bp)	(50 bp)	(124 bp)	(10 bp)	(10 bp)	(10 bp)	(10 bp)	(13 bp)	(21 bp)
Land gross profit margin	(1160 bp)	(2128 bp)	9402 bp	(3518 bp)	(8950 bp)	15779 bp	(29015 bp)	(8962 bp)	465 bp	(369 bp)	3504 bp	28456 bp	2985 bp	3399 bp	4000 bp	0 bp	(133 bp)	2478 bp	(833 bp)
SG&A as a % of homebuilding revenues	(87 bp)	(85 bp)	8 bp	115 bp	47 bp	(18 bp)	4 bp	23 bp	84 bp	120 bp	60 bp	60 bp	81 bp	5 bp	5 bp	5 bp	5 bp	(5 bp)	10 bp
Operating profit margin	303 bp	236 bp	154 bp	(405 bp)	(556 bp)	(167 bp)	(185 bp)	(312 bp)	(158 bp)	(333 bp)	(98 bp)	80 bp	(120 bp)	159 bp	113 bp	(10 bp)	(17 bp)	63 bp	(46 bp)
Company-wide pretax income margin	406 bp	185 bp	80 bp	(407 bp)	(547 bp)	(150 bp)	(131 bp)	(289 bp)	84 bp	(406 bp)	(116 bp)	16 bp	(115 bp)	(61 bp)	111 bp	(6 bp)	(15 bp)	20 bp	(46 bp)

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

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Investment Thesis, Valuation and Risks

Toll Brothers, Inc. (TOL)

Investment Thesis

TOL (Overweight) seems like a counterintuitive pick in a mushy macro, but we see a few silver linings: **1)** well-capitalized balance sheet relative to small luxury peers, with room to take advantage of tough regional bank financing; **2)** stepped-up spec strategy (~50% of recent sales), which broadens **TOL**'s TAM deeper into EHS territory; **3)** a greater focus on land light (optioned land now 57% of total, +45pts vs. 2015).

Target Price Valuation for TOL: $185.00 from NC

Our $185 price target is based on 14.7x our calendar 2026 EPS estimate. We believe this is justified given TOL's strong balance sheet & stepped-up production focus. This implies P/TBV of 2.0x.

Risks to Our Price Target and Rating for TOL

Key risks include: macro sensitivity (interest rates in particular), high ASPs vs. peers (could be tougher in a 'rich-cession'-type economic scenario), any shift in consumer preference away from TOL's core large home offering, capital constraints, supply chain constraints and stepped-up site preparation costs (a consistent challenge industry-wide).

Companies Mentioned in Report

Company Name	Ticker	Last Price (02/18/26)	Rating
Toll Brothers, Inc.	TOL	$166.98	Overweight

Source: Wells Fargo Securities LLC Estimates, FactSet

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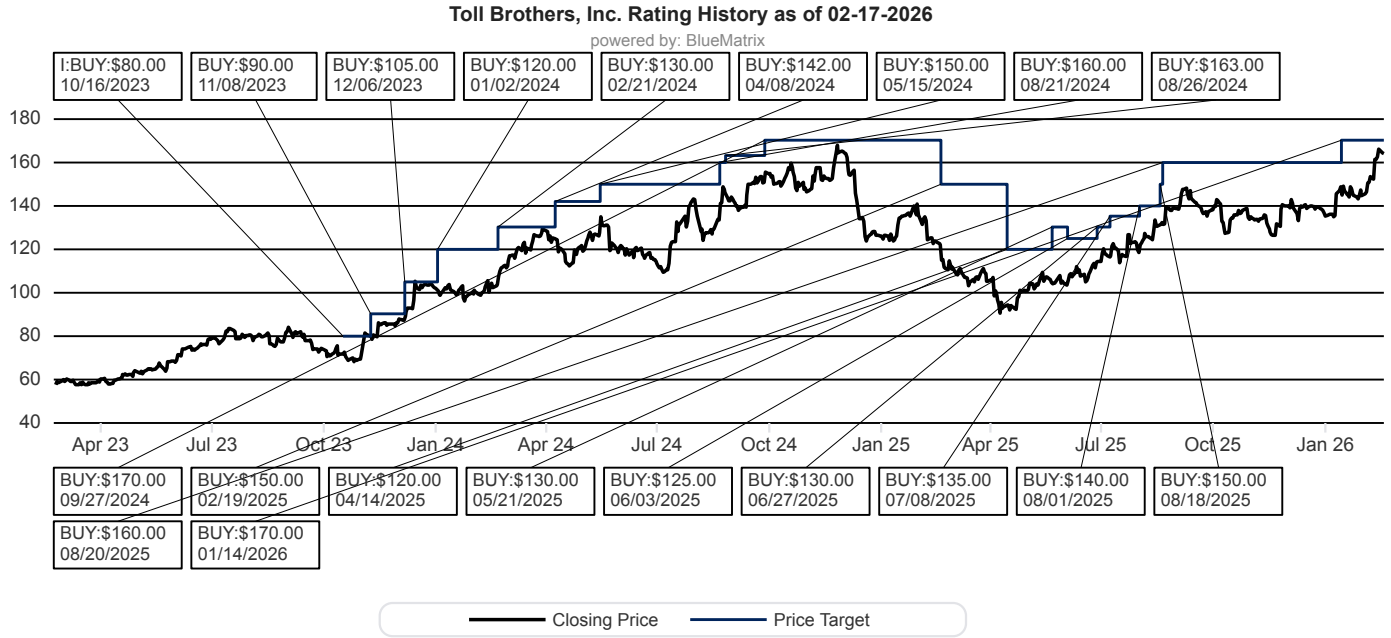

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